



New product development

Companies cannot stand still. In today's fiercely competitive marketplace, they have to budget for research into new ideas and identify new products to bring to market simply to stay in business.

How it works

New product development is a process with a number of critical stages to ensure that a business focuses its investment on products that will sell and, above all, make a profit. It starts with an idea, possibly to improve and relaunch an existing product. Some companies run sessions to

encourage creativity and generate a pool of ideas, a few of which can be explored. They might work with potential customers and also with suppliers, if part of the manufacturing process is to be outsourced, to refine and develop ideas before finally bringing the product to market.

TRENDING CLAIMS

New products are influenced by trends, reflected in the claims on packaging and in advertising. The top claims on new food products in the US from 2000 to 2010, for example, were "natural," "organic," "single serving," and "fresh."

The development process

The nature of the idea and the size of the company affects each stage and how long the product takes to reach the market, but the process is generally the same.

